Rule #1 Full Story
Insert Company Name (Ticker)
Market Price: $X
Last Updated: XX/XX/XXXX
Last updated:

**Any section in blue designates a carry-over from a previous document.*

EVENT ANALYSIS

1. **Describe the event causing the price of the company's stock to fall and the extent of the price drop.**

Yes, there is an event. There are two main concerns regarding Lulu right now:
- Uncertainty around tariffs and trade wars
    - Larger tariffs in general
    - Removal of the de minimis exemption
- Growing competition in the athleisure space

2. **The event was easy to find**
    a. Yes or no

Yes, the event was easy to find. It's in every article about Lululemon in 2025

3. **What is the event timeline**
    a. **When did it start, what are the critical elements of the event so far, and when do we expect resolution?**

The event started in mid-2025 after its March 27th earnings report, noting lackluster YoY growth. Investors have been accustomed to double digit revenue growth every single year for nearly a decade. When the first signs of slowed growth (in North America, specifically) appeared, investors fled. This began a new thesis about Lulu. That growing competition from brands like Vuori and Alo Yoga have begun taking market share from the athleisure giant and thus its moats are under attack and/or weakening.

This, coupled with the tariffs imposed by President Trump (specifically on countries where Lulu sources from [namely, Vietnam, Bangladesh, China]) have resulted in a lot of uncertainty around Lululemon.

Lastly, the Trump administration also ended the 'de minimis exemption'. Previously, this allowed products valued under $800 to be imported into the United States without paying a tariff. This was relevant to Lulu because of their growing online business (~40% of revenues as of 2025) which relied on distribution centers, half of which are located in Canada. Now that the de minimis is gone, many online orders will be subject to tariffs, which could adversely affect Lulu's margins and/or force them to increase prices and potentially lose customers in one of their most important business segments (online).

4. **Event resolution hypothesis**
    a. **How do we expect the event to be resolved?**

The event will be resolved by:

- Expanding into new markets
    - (i.e. Asia and Europe) to compensate for the North American slowdown in sales
    - Continuing to expand online business
- Revamping their product line to remain relevant (specifically in North America)
    - Shortening product development cycles
- Focusing on operational efficiency
    - Share buybacks
- Supply chain optimizations
    - Moving distribution centers to US to compensate for de minimis
    - Diversifying their factories (specifically Tier 1 factories) across countries that are less affected by the tariff situation
- Raising prices

5. **The event will take no more than three years to resolve.**
    a. **Yes or no.**

Expansion into new markets will take between 1-3 years
Revamping their product lines will take between 1-3 years
Operational efficiency can take less than 1 year
Supply chain optimizations will take 1-3 years
Raising prices can happen at anytime

In short, yes the event will take no longer than three years to resolve

6. **The Event solution will not require adding debt**
    a. **Yes or no.**

Yes. They have $2B in cash that they should deploy to bring those resolutions into affect

7. **Despite this event (or because of it), I can specify at least three reasons why this is the one if I could buy one company for the rest of my life.**
    a. **Yes or no.**

Yes because:

1. I am a customer and I want to support the business (selfishly)
2. They have plenty of runway to grow (especially internationally)
3. They have more than one moat (secrets, brand, etc) that protect them from competition

CONCLUSION:

- I've read all the articles about the event.
- I've reviewed all the analyst articles regarding the event, specifically those that moved to hold or sell ratings.

MEANING ANALYSIS

RADAR

1. **How did this company get on my radar?**

Three circles, search, I am a consumer

2. **This business is owned by a good investor with a 4% or more position.**
    a. **Explain**

Michael Burry just added 1.29% of his portfolio in 2025

First tranche in Q2 avg price $275

Second tranche (2x bigger than first) in Q3 avg price $200

Prem Watsa added 0.22% of his portfolio in Q3 of 2025 (avg price $200)

Stephen Mandel back in 2016-17

3. **Explain what analysis edge we have in this industry, if any.**

Retail is a relatively easy business to understand, and Lulu has remained in the luxury athleisure space, being careful not too expand too far outside their circle of influence (except for their purchase of Mirror in 2020, which did not work out).

Additionally, I am a consumer of Lululemon products, and I am familiar with their competition (namely, Vuori, who specializes in men's shorts). If I am curious about Vuori's competition, I can simply go buy them because I am their target customer. Additionally, Vuori is headquartered in Carlsbad, of which I live near.

MEANING

1. **Briefly describe the company's product or service, business model, and business segments.**
    a. **From what business segment does the company derive the majority of its profits?**

Lululemon designs, distributes, and markets athletic apparel, footwear, and accessories for women, men, and girls (athleisure). They have found success marketing a lifestyle rather than a product, and sell through their own network of stores, as well as through online channels. The owner operated store model is distinctly different from traditional retail, which relies heavily on DTC stores like Macy's, Target, and the like to sell apparel. The advantage of the owner operated stores is two fold. Number one, they design the stores such that they keep a strong brand image from store to store. There is a distinct 'feel' when you walk into a Lululemon store that does not exist in any other apparel store. Secondly (and more importantly), they get a great deal of customer data by owning their stores and can quickly adapt to changing consumer sentiment by optimizing shelf space, inventory, and the like.

Some other key aspects of their business model is that they do not own any factories. Instead they rely on factories abroad to make their products. In this way, their manufacturing capital requirements are kept low (and they can instead use that capital to grow store growth). The product shipments are sent to their network of distribution centers and are dispersed to the various stores from there. Their online business also takes orders from their distribution centers. It does not look like they handle shipping and logistics themselves (must be DHL or some other similar 3PL company).

From a product standpoint, their business is split into Americas, China mainland, and 'rest of world'. Historically, the majority of their profits has been from their Americas business (as of 2024, 75% of revenues). However, they've been rapidly expanding their international segments, which have grown at a 44% CAGR for the past 3ish years ($960M in 2021 to $2B in 2023). According to their 2024 investor relations presentation, their growth will be driven by:

- New store openings
- Growth of digital
- Brand awareness
- Growth into new markets

They have proven to be predictable by a strong growth history driven by their competitive advantages, namely their proprietary fabrics, their name brand, and their unique business model.

2. **In a simple statement, describe how this business makes money and why the future is predictable.**

Lululemon makes money by selling luxury apparel products to high end customers. The future remains predictable because of the strong secular growth in wellness culture, the market potential abroad, and because of the large runway ahead of them in the athleisure space.

3. **Explain the industry this business is in.**

Lulu operates in the retail space, but more specifically the athleisure space, which is a growing trend of apparel that blends comfort and athletic appeal. Specifically, they operate in the luxury athleisure space. Even more specifically, they specialize in women's luxury athleisure (because of the yoga pants).

4. **If this company is in a cyclical industry, briefly describe the cycle.**

Athleisure belongs in the larger 'consumer discretionary' sector, which technically is cyclical. However, athleisure has shown strong secular growth which has cushioned, to some extent, the cyclicality of their larger market over the past decade.

Additionally, Lulu has some seasonality to it. Typically, sales are weighed more heavily in the fourth quarter due to the holiday season. In 2024, 42% of their full year operating profit came in the fourth quarter. In 2023, this number was 43%. In 2022 it was 35%. (These numbers were determined by looking at the 10K's and the 10Q's and finding Q4 numbers relative to full FY numbers.)

5. **Brief description of the specific problem(s) this business solves for the customer.**

Lulu promotes not just a product, but a lifestyle. They are the leading brand for people who want to live a healthy and active lifestyle, and want to look the part. Since this is a growing trend, the 'problem' it solves is giving people an avenue to not feel left out of this trend.

6. **This business is #1 or #2 in its industry by Owner Earnings and Free Cash Flow, if not what's its niche?**

Lululemon is number one in revenue, free cash flow, earnings, and owner earnings in the athleisure space (according to the Toolbox)

7. **The business has a dominant market position.**
    a. **Include a competitive comparison table.**

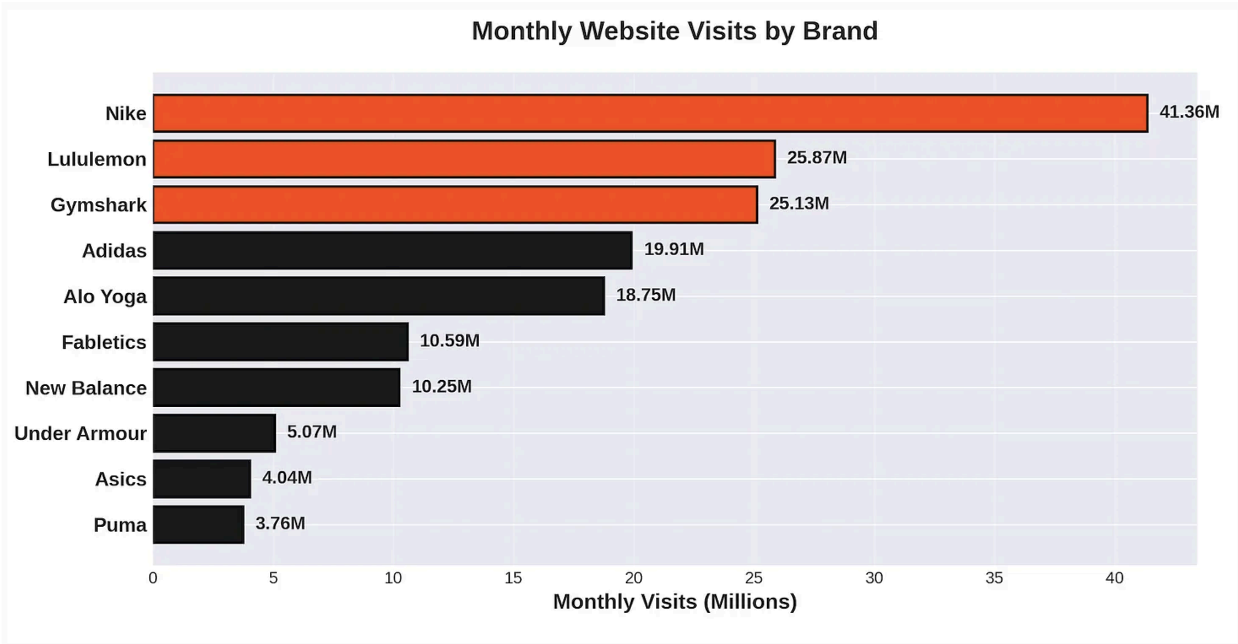
Source 1

Source 2

Company	Ownership status	Revenue	Key differentiator(s)	Growth Drivers
LULU	Public	2024 - $9.6B	First mover advantage in athleisure. Trusted quality, brand recognition	Store growth International expansion New Product launches Digital Brand awareness
ADIDAS	Public	2022 - $23.2B	Focus on sportswear in general	Strategic product launches Retail expansions
PUMA	Public	2022 - $9.3B	Focus on sportswear in general	New product launches Sustainability-focused initiatives
NIKE	Public	2024 - $51.3B	Focus on sportswear in general, broad appeal	Innovative product launches and sustainability Digital growth
ASICS	Public	2022 - $3.9B	Focus on sportswear in general	Innovation & sustainability
UNDER-ARMOUR	Public	2023 - $5.7B	Focus on sportswear in general	Acquisitions & sustainability

Brand	What They're Known For	Comfort Features	Style Notes	AI/Tech Fit Integration
Lululemon	Technical fabrics, yoga focus	Luon/Lux, sculpting, sweat-wicking	Sleek, premium, minimalist	Yes (Glance AI compatible)
Nike	Innovation, broad appeal	Dri-FIT, ergonomic designs	Iconic, athletic, versatile	Yes (Glance AI compatible)
Alo Yoga	Trend-driven, celeb-loved	Sculpting, seamless, breathable	Street-style, modern	Yes (Glance AI compatible)
Adidas	Performance heritage	Climalite, adaptive fit	Bold, sporty, classic	Yes (Glance AI compatible)
Athleta	Inclusivity, eco-focus	Powervita, extended sizes	Soft, supportive, everyday	Yes (Glance AI compatible)
Vuori	West Coast casual	DreamKnit, featherlight	Relaxed, nature-inspired	Yes (Glance AI compatible)
Girlfriend Collective	Sustainability, size range	Recycled, compressive	Playful, bold, inclusive	Yes (Glance AI compatible)
Gymshark	Performance & influencers	Sweat-wicking, contouring	Youthful, vibrant	Yes (Glance AI compatible)
Year of Ours	Unique fits, female-led	Stretch-knit, shaping	Statement-making, edgy	Yes (Glance AI compatible)

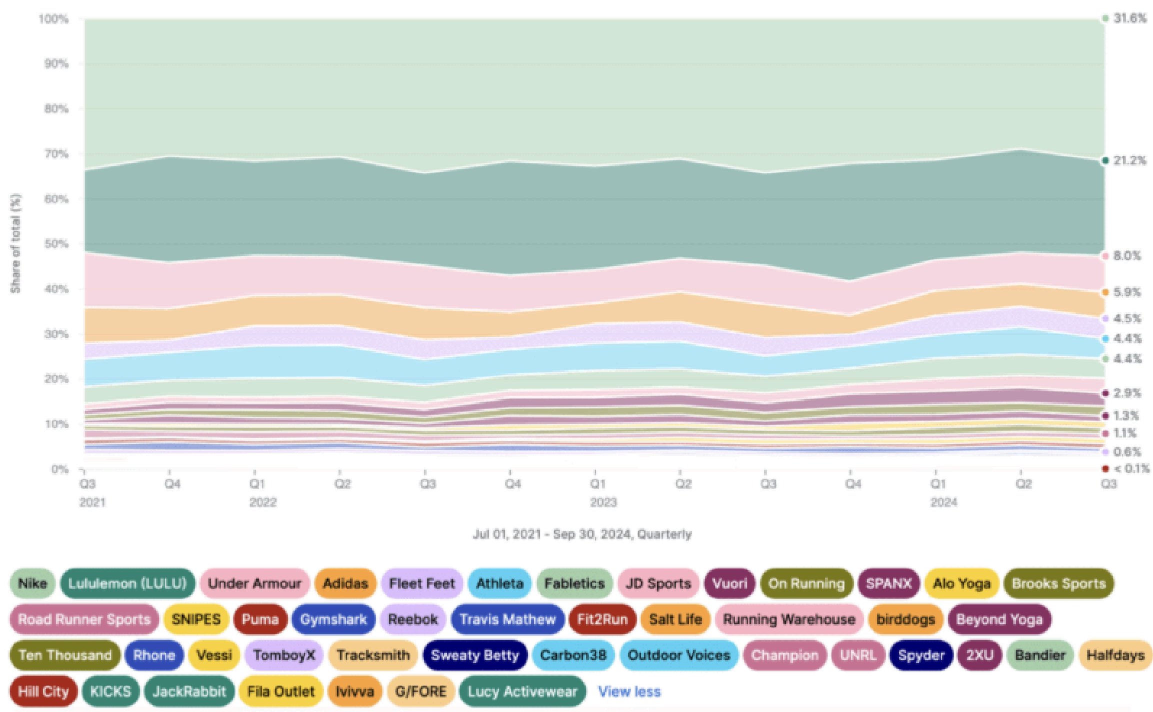
Brands ranked by worldwide searches (source) Dec, 2025



Source here (Dec 2024) has Lululemon as the 2nd biggest chunk of US monthly spending on athleisure products, trumped only by Nike who is a much larger company. 3rd place (under armour) is way below

US athleisure market share

US$ spending, monthly



Company	Revenue	Differentiators	Potential Weaknesses	Business Model
LULU	2024 - $10.6B	First mover advantage Trusted quality Brand recognition	Stagnation in designs Loss of favor among trendsetters	DTC store model & online No wholesalers or department stores
VUORI	2024 estimated $1B	Standout softness Versatile style In favor of trendsetters	Maintaining product freshness	DTC store model & online *Some* wholesale and department stores
ALO YOGA	2024 estimated $250M	Buzziest brand rn Focus on yoga pants	Buzz doesn't last forever Influencer driven	DTC store model & online Heavy reliance on

		Organic virality and authenticity	Quality weaker than Lulu and Vuori	social media *Some* wholesale and department stores
FABLETICS	2024 estimated $850M	Membership model Low price point	Not seen as high quality Membership model turns ppl off	Hybrid DTC and online Heavy reliance on social media *Some* wholesale and department stores
GYMSHARK	2024 $484M	Digital native, social media driven Directed towards gym goers Community vibe tailored towards young ppl Tailored towards women	Some leggings are see through Very body-contouring and less forgiving	Born as pure online business Heavy influence on social media influencers *Some* wholesale and department stores
ATHLETA		GAP owned Inclusive marketing towards women Low price point, Value oriented	Lower quality than Lulu and Vuori	Sells through GAP owned stores *Some* online

Different source says Lulu is the second best athleisure brand going into 2026. (only reason it said Lulu wasn't number one was because the company who posted this listed themselves as number one!)

Vogue magazine lists Lulu as one of the top brands going into 2026.

8. **I can rattle off the history of this business and how it has changed over time.**

[Lululemon's Impact as the Pioneer for Athleisure]

Lululemon started in Vancouver, Canada in 1998 by Chip Wilson. He went to a yoga class and discovered the need for more breathable athletic wear, so he founded Lululemon as a result. Side note, he called it Lululemon somewhat as a joke because Japanese people have a hard time pronouncing the letter "L" in English. He also decided the first L would be lowercase, to establish a relaxed vibe, which would set the tone for the overall brand for years to come.

Lulu opened its first store in 2000, and it was a design studio by day and yoga studio by night. From the company's About Us page, "*our vision for our first store was to create more than a place where people could get gear to sweat in, we wanted to create a community hub where people could learn and discuss the physical aspects of healthy living, mindfulness, and living a life of possibility"*. Back then they made one product: black yoga pants for women. Chip wanted to emphasize the quality of fabrics and people quickly caught on, buying pants not just for yoga classes but to wear around leisurely. So began the trend of 'athleisure'. Demand increased and they began selling other athletic apparel. Lulu went public in 2007

Many attribute the athleisure trend to Lululemon, since it was the first company to create this sub-market within the already-existing-and-crowded-apparel industry. Lulu stood out because of its emphasis on quality, and because of the community it generated by its owner operated store model and yoga studios. Lulu quickly became cult-like, and in many ways still is today.

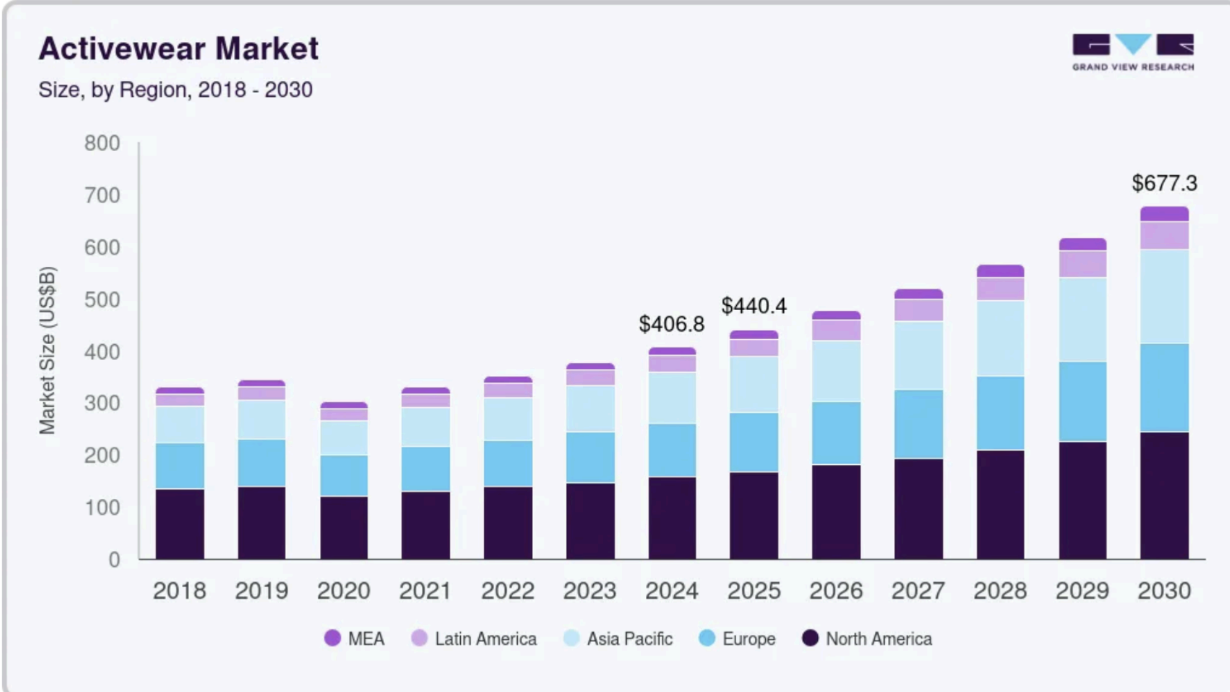
Lululemon's billionaire founder slams the company's DEO efforts
Lululemon: The work of Chip Wilson
Chip Wilson is a somewhat controversial figure because of his stance on several touchy subjects. He's openly against DEI and doesn't like Calvin McDonald's effort to be more inclusive to more customers. He's said openly that "the definition of a brand is that you're not everything to everybody…you've got to be clear that you don't want certain customers coming in". Some other notable Chip Wilson takes are below:

- “They don’t work for some women’s bodies” when asked why Lulu doesn’t offer plus sized leggings
- He’s described plus-sized clothing as a “money loser”
- “It’s funny to watch them try and say it” referring to Japanese people pronouncing the word Lululemon
- He’s spoken in favor of children working in factories on the basis that they are at least earning money and trying to stay out of poverty

While some of this actually rings quite true, his openness on these controversial subjects has caused pundits to call him anti-Asian, sexist, misogynistic, and fatphobic. He stepped down as CEO in 2005 but stayed on as an innovation consultant until ~2013 but stayed on the board. Later in 2015, he stepped down as a board member and officially removed himself completely from the brand.

9. I can say why this industry will be going strong in ten years.

Global activewear market (source) is estimated at $406.8B in 2024 and is projected to reach $677.6B in 2030 (CAGR of 9%)
- North America is 38.5% of this in 2024 ($156.6B)
- U.S CAGR is expected at 7.6% until 2030 ($226B in U.S by 2030)
- Asia Pacific is the fastest growing global segment



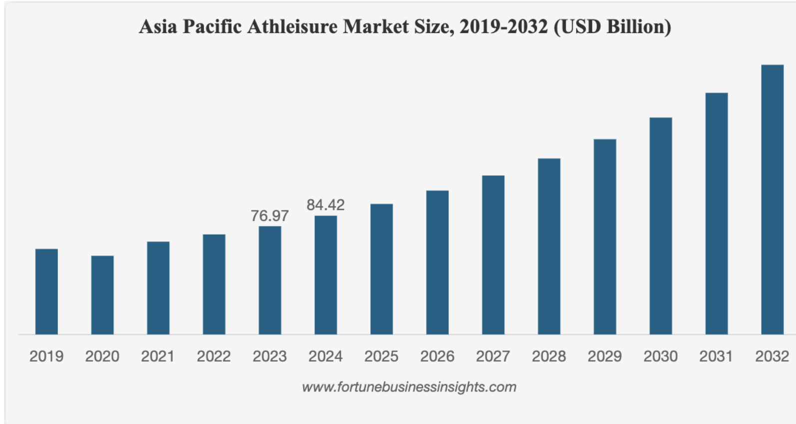
Different article states (source):

- Current global athleisure market at $425.1B
- global athleisure market will grow to $941.6B in 2034
- Ten year CAGR of 9.2%
- North America the biggest
    - Estimated 5-yr CAGR of 8.7%

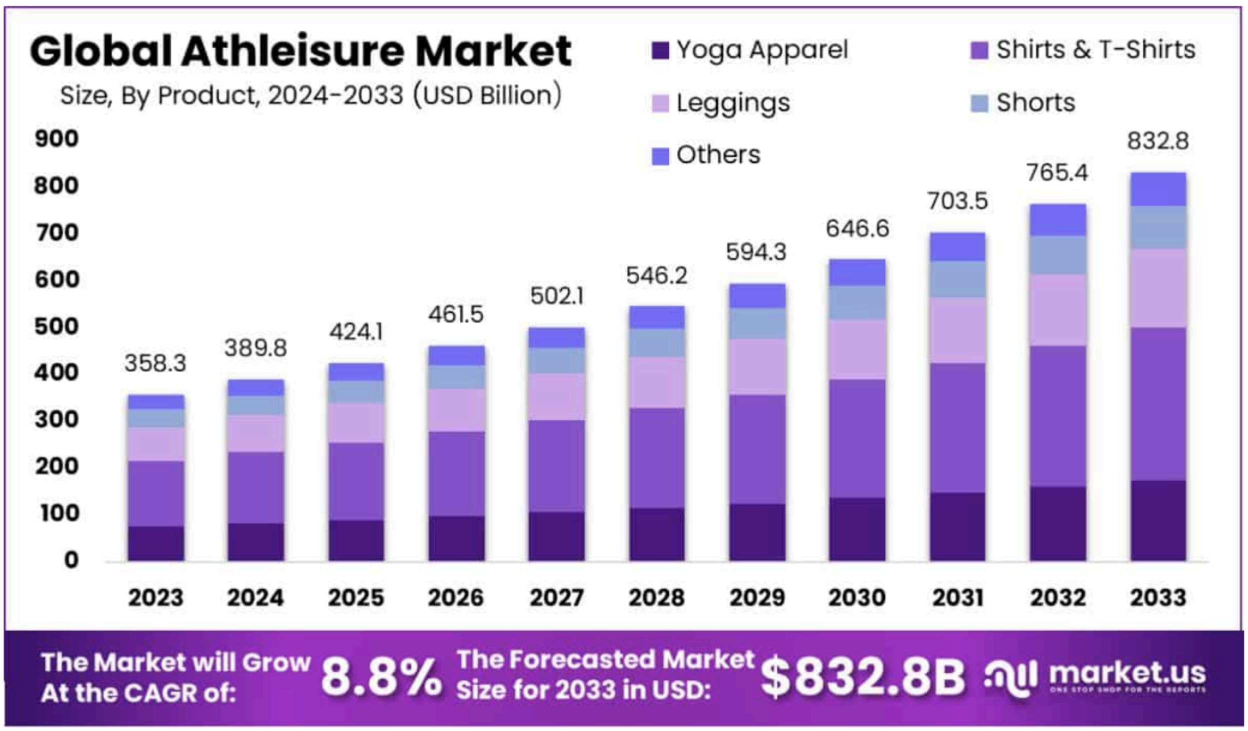
- Asia pacific the fastest growing
    - South Korea specifically, at 11% CAGR expected
- T shirts most popular at 38.5% of the market
- Yoga apparel is fastest growing athleisure type

Different articles states (source):

- 2024 $338B
- 2032 projected $716B
- 9.82% projected 10 yr CAGR
- Asia Pacific dominates the market

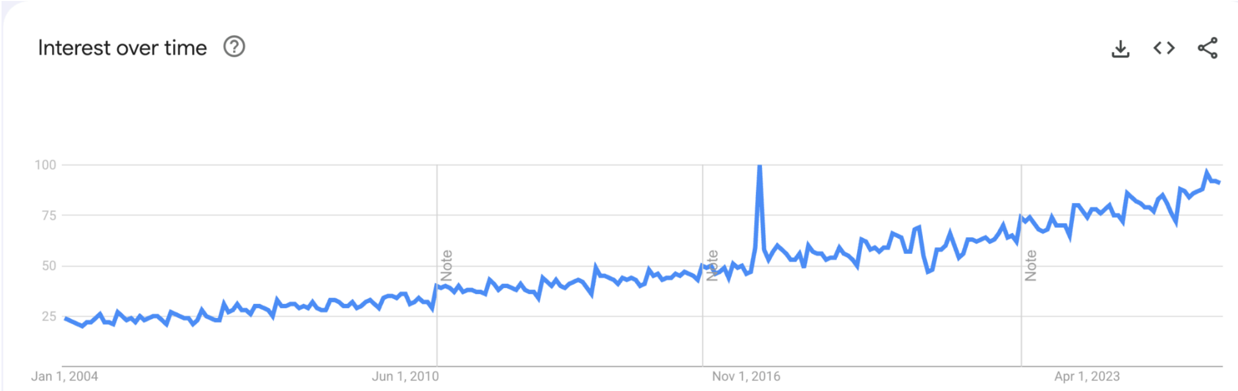


The industry growth, split up by product category can be seen below (source):



Additionally, the activewear market is riding the health and wellness trend, which has been increasing long-term

Google keyword: wellness



Overall, athleisure is benefitting from:
- Growth in remote work
- Growth in wellness culture
- Innovations in fabric technology
- Influencer culture

Overall, athleisure is facing headwinds:
- Tariffs
- Growing number of cheap and counterfeit products

Trends to look into:
- Growth in eco-friendly materials
- More advanced tech in fabrics and/or manufacturing

Article here states that most people still prefer comfort and fit over price

Source → showing drivers and headwinds in the athleisure industry over the next 5 years

Drivers Impact Analysis

DRIVER	(~) % IMPACT ON CAGR FORECAST	GEOGRAPHIC RELEVANCE	IMPACT TIMELINE
Growing enthusiasm for sports and outdoor activities	+2.1%	Global, with strongest impact in Asia-Pacific and emerging markets	Medium term (2-4 years)
Shift toward casual and versatile fashion	+1.8%	North America and Europe core, expanding to urban Asia-Pacific	Long term (≥ 4 years)
Influence of social media, celebrity endorsements, and fitness influencers	+1.5%	Global, particularly strong in North America and urban Asia	Short term (≤ 2 years)
Government initiatives and investments in sports participation	+1.2%	Asia-Pacific, Europe, select emerging markets	Long term (≥ 4 years)
Innovation in fabric and product design	+1.0%	Global, with premium segment concentration	Medium term (2-4 years)
Sustainability trends and eco-friendly product offerings	+0.9%	Europe and North America lead, spreading globally	Long term (≥ 4 years)

Restraints Impact Analysis

RESTRAINT	(~) % IMPACT ON CAGR FORECAST	GEOGRAPHIC RELEVANCE	IMPACT TIMELINE
Proliferation of counterfeit products	-1.4%	Global, particularly strong in Asia-Pacific and online channels	Short term (≤ 2 years)
High cost associated with the product	-0.8%	Emerging markets and price-sensitive segments globally	Medium term (2-4 years)
Tariff increases and trade barriers	-0.6%	US-China trade corridor, expanding to other regions	Short term (≤ 2 years)
Price fluctuation in raw material	-0.5%	Global, with particular impact on mass market segments	Medium term (2-4 years)

10. I can list the key numbers (KPIs) the industry participants follow to know what's going on in a business and how they compare to the competitors.

In the athleisure space (as well as retail in general):

- Comparable sales
- Average transaction value (ATV)
- Inventory turnover (per year)
- Conversion rate (For online)

- Customer acquisition costs
- Net margins
- Revenue growth
- Sales per square foot (SPSF)

Lulu vs Adidas financial comparison

Lulu vs Nike financial comparison

Company	Profitability & Productivity
Lululemon	- Gross margins ~58% - 59% - Operating margins low 20s - Sales/ft^3 > $1,500
Nike	- Gross margins mid 40s - Net margins low teens - Bigger asset turnover
Adidas	- Gross margins low 50s - Operating margins mid-single digit
Athleta (Gap Inc)	- Lower gross margins vs Lulu - Lower operating margins vs Lulu
DTC peers (Vuori, Alo, Gymshark, Fabletics)	- KIPs limited but generally lower margins and operating margins vs Lulu

Company	Sales per Square foot
Lululemon	In 2024 - $1574 and in 2023 - $1609
Nike	~$1,600 (according to Google)
Adidas	$500 - $1,000 (according to Google)
GAP Inc (Athleta)	$484 (according to Google)
Vuori	Not publicly available
Alo Yoga	Not publicly available

11. Do the company's mission and purpose match my values?

I am somewhat of a health freak, and love to exercise and eat healthy, which aligns well with Lululemon's mission. On their investor relations website, they state that "*lululemon is a leading brand for people around the world who want to live a healthy and active lifestyle*". Therefore, they are essentially marketing to *me*.

12. How will the company create new profits in the future?

How Lululemon's CEO plans to double the business despite mounting competition

Their *Power of Three x2* growth plan states:
Double revenue (2021 numbers) by 2026. This would be roughly $12.5B by the end of 2026.
They plan to do so through three strategic pillars:

1. Product Innovation
    a. Double men's business
2. Guest Experience
    a. Double digital sales
3. Market Expansion
    a. Quadruple international sales

Included in this plan are notable metrics that management is targeting:

- Total net revenue CAGR of 15% between 2021 and 2026
- Modest operating expansion annually
- EPS growth to outpace revenue growth
- Annual square footage growth in the low double digits

Beyond 2026, their business will continue to rely on growth driven by:

- New store openings, mostly international
- Continued growth of the online business
- Operational efficiency
    - Share buybacks

    - Continued decrease of expenses relative to revenue
- Continued brand awareness
- Raising prices
- New innovative products and fabrics

CONCLUSION:

- I’m capable of understanding this business, or is it too hard?
- Why are you capable of understanding? Which circle does it fall within?
- Do you want to own the whole business?
- Do you understand the business well enough to own all of it?

MOAT ANALYSIS

1. I know the competitive advantages of this business.

a. Network Moat, Switching, Toll, Brand, Secrets.

Lulu has a **brand moat** and a **secrets moat** - both are intrinsic to the company. Lulu is the household name in premium athletic wear products (i.e. 'the OG'), and they are known for their proprietary fabric blends, elevating their quality over their competitors.

Additionally, Lulu has adopted an owner-operated store model, which gives them an advantage over their customers by being able to collect consumer data much faster than their competitors (shelf optimizations, product placement optimizations, etc). Not a moat technically but it’s an advantage

2. I know the barriers to entry this business benefits from.

a. How easy is it to make a comparable product?

Due to the complex supply chains involved with the apparel industry, it’s relatively difficult for someone to come in and take significant market share. Lulu has $8B in assets, meaning a competitor would need at least that much if they even wanted to try replicating Lulu.

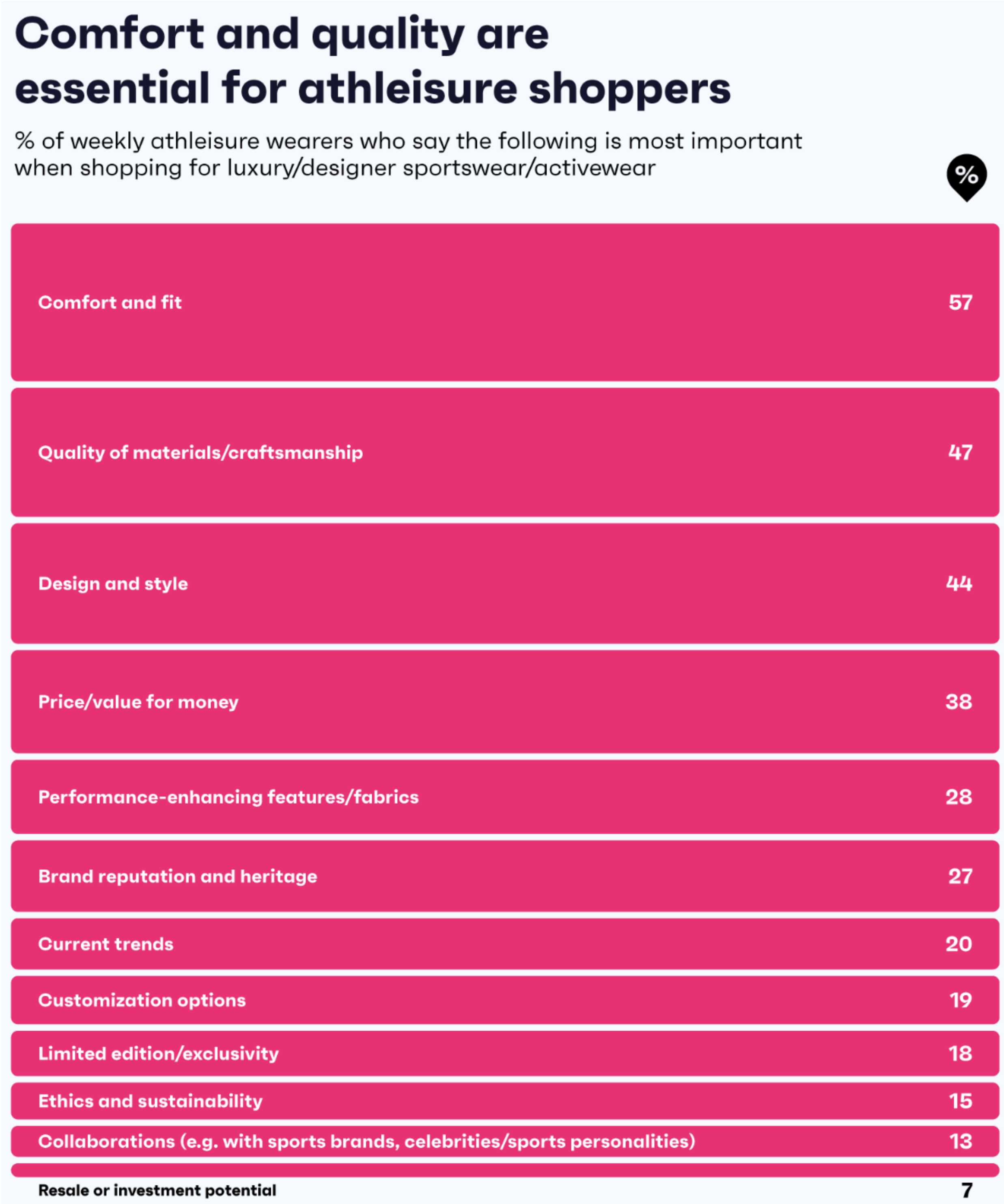
Athleisure trends: where comfort meets style

While there are a growing number of dupe products out there, general consensus points to the fact that most people can tell the difference when wearing a dupe product vs wearing Lulu products, which consistently offer superior comfort and performance. In a recent analysis of the Global Athleisure Market, it was discovered that the number one factor influencing consumer behavior is comfort, followed by price.

Fig.7 Factors influencing buying behavior in the activewear market

While Lululemon is on the upper echelon of price points, they are also the leader in comfort and fit, which offers a tailwind for the future.

Another source backs this up, saying value-for-money ranked 4th highest, trumped by comfort, fit, quality of materials, and design. These are all areas that Lulu excels in.



3. **I know why these competitive advantages are durable.**
    a. **If you spend this company's market cap could you successfully compete against this company?**

Even if you had Lululemon’s current market cap ($24B), you would have difficulty replacing them because of:

- Their strong brand moat and cult following
- Their relationships with global suppliers
- Their proprietary fabrics

Lulu’s brand moat is durable because they have been the same brand almost since inception. They have strayed slightly over the past few years (going into footwear, expanding into other accessories, etc), but there is a strong push from the board to remain on the athletic, wellness centric model.

Their relationships with suppliers has taken years to foster, which would significantly hinder competitors from coming in and taking significant market share.

Lastly, their secrets moat (proprietary fabrics, blends, and knitting patterns) are a product of years of experienced engineers. Also difficult to replicate.

Out of all three, the brand is the strongest one and if the other two diminish over the next decade, Lulu could still grow only by their brand moat.

4. **I can describe the critical pieces of the operation.**

Running an athletic apparel company relies on several factors:

- Complex supply chains and distribution operations
- Continued expansion of the brand’s image through marketing/community events
- Expansion into new markets with new store openings and/or expanded distribution capability to allow for greater online presence

5. **I can say in one sentence the problems customers will have if this business disappears.**

First, customers will have to go to one of the other brands for athleisure products. Probably Vuori first, followed by Alo, and maybe Nike, Adidas or Under Armour. However, none of those brands also have the same brand imaging as Lululemon. Customers will feel a lack of a brand that represents wellness, healthy living, and style and commonly supports these tenants through active community events.

6. **It is easy to convince customers to buy.**

The products speak for themselves due to their superior quality and comfort.

7. **Sales are recurring, not "one-off."**

Sales are recurring in the athleisure space because people either outgrow, outwear or lose clothing very commonly. That in combination with changing trends in style (which Lulu stays on top of) keep customers coming back.

8. I know why the competitive advantage is intrinsic and very difficult to copy.

Lulu's brand and secrets moat are absolutely intrinsic to the company. Lulu even developed a cult-like following, showing the strength of its brand image. Part of the brand image is luxury, which is partly due to their branding but also due to the elevated quality of their product. Both moats rely on each other and both are intrinsic to the company.

9. Has the moat of this business changed over time?

It does not appear that the brand or secrets moat has changed. Although, their marketing and business strategies have shifted over time to account for the growing business. For example, they've expanded into international markets, expanded into new segments (i.e. men, footwear, bags, etc). However, in doing so they've kept their brand image throughout.

10. This business has proven it can raise prices as its costs rise.

   a. Can they raise prices to offset or exceed inflation because they have a desirable product or service?

Lulu is the rolls-royce of athletic gear. They have proven that people will pay extra for quality and that is backed up by years of revenue data.

According to Google, Lulu has had notable price increases in 2015, 2016, 2022, and currently in 2025. Over all of those periods, their revenue still grew. In all cases, the year directly after the price increase resulted in low growth, followed by a subsequent year of exceedingly great growth. Need to watch carefully over the next few quarters to see if their 2025 price increases will adversely affect the sales, especially in North America.

11. I can describe the core customer of this business in one sentence.

Lululemon's core customers are relatively affluent people (roughly ages 20 - 45) who want to live a healthy and active life, see fitness as part of their identity, and value comfort, fit, and style.

12. Consumers love this company.

   a. Net promoter score, articles, personal experience, or other?

On Comparably, Lulu is ranked #26 in fashion and beauty brands. Total NPS of 41

lululemon NPS vs. Competitors

Compared to its competitors, lululemon's NPS is rated right above Under Armour, and is preceded by American Eagle Outfitters.

COMPANY	NPS SCORE
Nike	48
American Eagle Outfitters	44
lululemon	41
Under Armour	32
J. Crew	23
Nordstrom	20
Outdoor Voices	N/A
NutriSystem	-63

From personal experience, consumers seem to like this company and still see it as a premium brand offering great products with great fit.

13. Suppliers love this company.

In a 2024 accreditation report, where all 109 of its Tier 1 factories were audited by the FLA (Fair Labor Association, of which Lulu has been a member since 2020), the FLA concluded that *"lululemon's leadership demonstrates a strong commitment to upholding rigorous workplace standards within lululemon's supply chain"*.

Lulu also periodically releases a Responsible Supply Chain disclosure, highlighting ongoing commitments to upholding fair labor practices and wellbeing for the people making their products.

On their investor relations website, they have a section about Supplier Well Being, highlighting their 2030 goal of *"providing 200,000 workers with programs to advance gender equity, financial resilience, and worker engagement"*.

According to Google, suppliers like Lululemon on the basis of consistent, high volume orders, leading to predictable business for the factories. They also like being associated with a premium brand like Lulu, as it elevates the status of their own factory and potentially opens up business for them elsewhere. Where suppliers might not like Lulu is in the constant battle against 'dupe' products. In the past Lulu has aggressively sued companies selling similar products (Peloton, Costco, for example) which can create friction in the overall athletic apparel factory business. Additionally, because of Lulu's premium status, they demand high quality standards, which can be a strain for certain factories.

14. Summarize any field research or expert interviews you conducted.

Their stores look like Apple stores, with a modern, sleek and simplistic feel. They have several high status athletes whom they sponsor in order to spread their brand image (Max Homa, Francis Tiafoe, Lewis Hamilton, DK Metcalf, Min Woo Lee, etc)

15. Summarize any Scuttlebutt.

CONCLUSION:

- I've reviewed the 10K, analyst reports, and industry publications, and talked to experts to understand the moat.
- After this Moat analysis, I still think the business will be bigger and better in 10 years.

MANAGEMENT ANALYSIS

1. **The CEO is experienced and has an excellent operational track record in this business.**
    a. **Yes or no**

    b. **Describe**

As of Dec 2025, Lulu announced that Calvin McDonald will be leaving, and they are in the process of selecting a new CEO. I will come back to this when they announce their new CEO

2. **I trust the CEO to behave with integrity.**
    a. **Insider ownership**

    b. **Explain why**

3. **CEO pay is reasonable and based on long-term success (proxy)**
    a. **Yes or no**

    b. **Explain why**

4. **Management is accumulating the stock.**
    a. **Do the company's key leaders have skin in the game with a large ownership position?**

    b. **Are management insiders buying or selling the stock?**

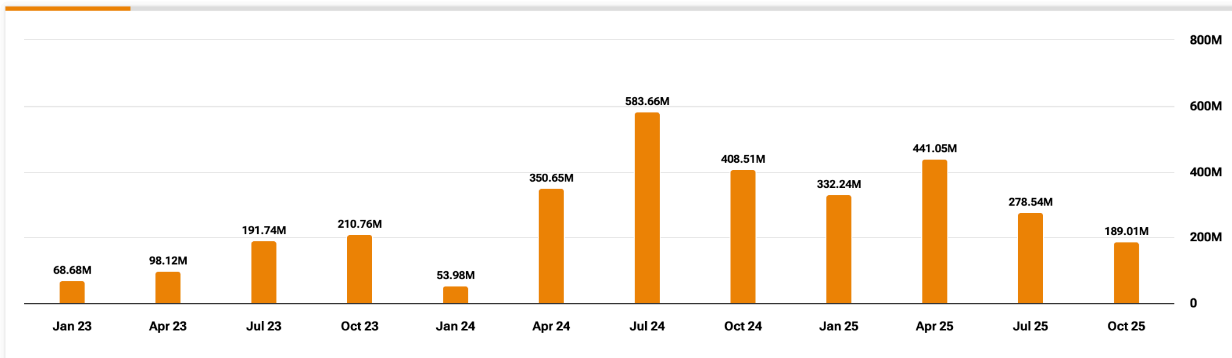
5. **Management is conducting stock buybacks.**
    a. **If yes, are they buying back the stock at or below intrinsic value?**

Over the past 10 years, management has purchased a modest 15% of their shares back from the open markets (140M in 2016 to 120M in 2024). This is nothing to write home about but it's better than most.

USD in millions except per share data	Trend	TTM	Jan 2025	Jan 2024	Jan 2023	Jan 2022	Jan 2021	Jan 2020	Jan 2019	Jan 2018	Jan 2017	Jan 2016
Shares Outstanding (Diluted)		120.203	123.935	127.06	128.017	130.295	130.871	130.955	133.971	136.198	137.302	140.61

Of this period, they have significantly increased their share buybacks since roughly 2021, which more or less correlates with their free cash flow growth. Two years of buyback history (per quarter) can be seen below.

Stock Buybacks (Quarterly) Chart



Buybacks began to increase around mid-2024, more or less correlating with a significant drop in the price of the stock, indicating that management was being intelligent about timing their stock purchases. See below for side by stock price comparison during the same period of time.

Since they have been in more of a growth phase (at least in North America) over the past decade, it makes sense for them to deploy their capital towards growth rather than operational efficiency things like share buybacks. I expect them to increase their share buybacks over the next decade since their North America business has begun to reach more of a mature phase.

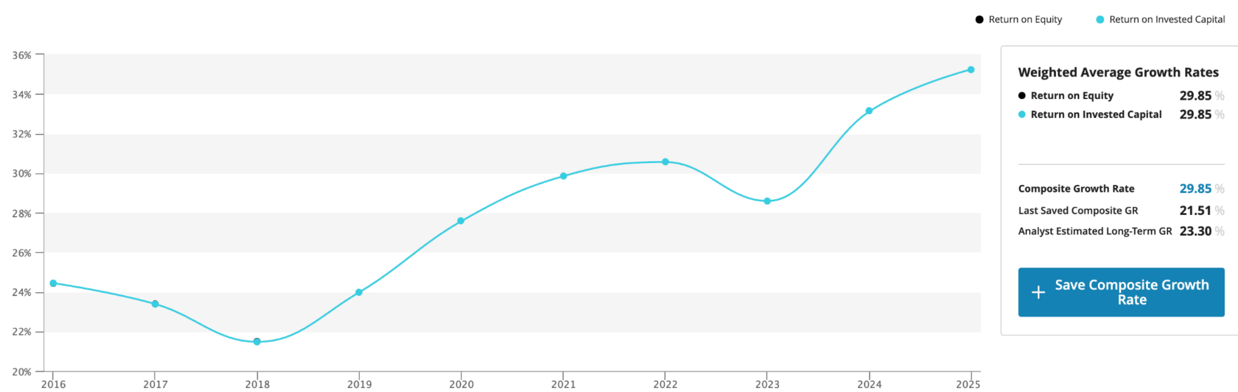
6. **The company has no or little net debt.**
   a. **Has the debt of the company improved or degraded under current management?**

The company has no debt nor has it had debt at all over the previous 10 years.

7. **The ROE is high and not getting smaller.**
   a. **Yes or no.**

   b. **Explain why**

Lulu has some of the highest and most consistent ROE and ROIC values I've ever seen. AND they are getting better with time.



For context:

- GAP 26% ROE, 18% ROIC
- Nike 25% ROE, 15% ROIC
- Aritzia 19% ROE, 19% ROIC
- Adidas 14%-22% ROE, 10%-13% ROIC
- Vuori, Alo Yoga, Gymshark, Fabletics, etc - not publicly available

8. **The ROIC is high and not getting smaller.**
   a. **Yes or no.**

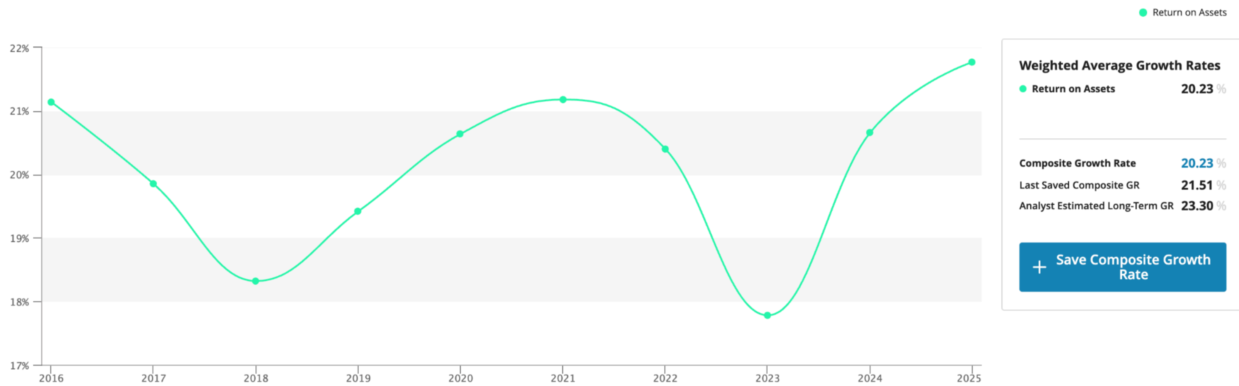
   b. **Explain why**

See above. ROE and ROIC are identical.

9. **The ROA is high and not getting smaller.**
    a. **Yes or no.**

    b. **Explain why**

ROA values have stayed relatively high over the past 10 years, with slight movements up and down between 21% and 18%.



10. **The business has low maintenance CAPEX relative to cash flow.**
    a. **Yes or no.**

    b. **Explain why.**

Lulu does not disclose their maintenance CAPEX in their 10K's or in their 10Q's. Will use the assumed 70% maintenance capex for future owner earnings calcs.

11. **Free Cash flow (FCF) is 75% of earnings or more.**
    a. **Yes or no.**

    b. **Explain why.**

10 yr avg FCF ratio is 0.92. The low was 0.6 in 2020, which is likely due to COVID.

12. **Owner Earnings are 75% of earnings or more.**

a. **Yes or no.**

b. **Explain why.**

Most recent owner earnings were 120% of earnings

13. **Is the Moat of this company dependent on the manager?**
    a. **For example, Elon Musk at Tesla or Steve Jobs early at Apple.**

    b. **Explain why.**

No, because the founder (Chip Wilson) is already gone, and he is not ultra famous like Elon or Steve Jobs. After Chip there have been two CEOs (Laurent Potdevin and Calvin McDonald) and there will soon be a third, as Calvin is stepping down after 7 years at the helm.

CONCLUSION:

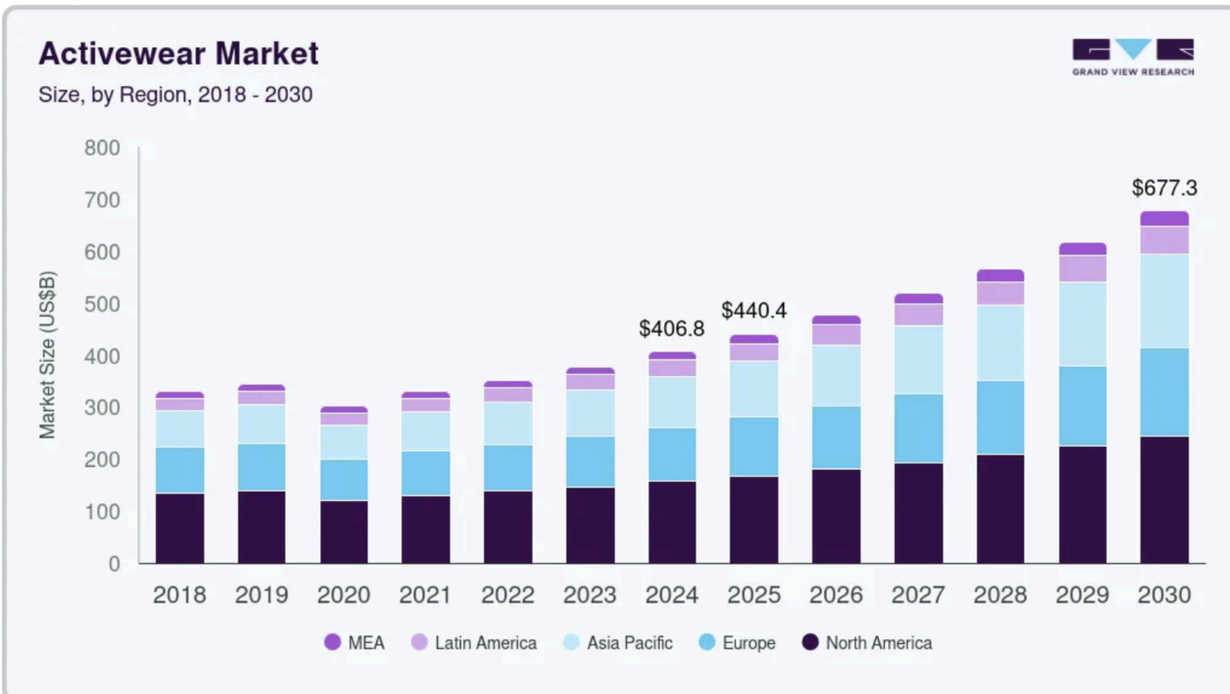
- I've reviewed the Letters to Shareholders, Proxy Statements, YouTube interviews, analyst reports, industry publications, and talked to experts to understand the management.
- After this Management analysis, I believe they have experience, talent, and integrity, and I trust them to have shareholders' long-term interests at heart.

VALUATION CONFIRMATION

1. Explain why this industry will be going strong in ten years.

Global activewear market (source) is estimated at $406.8B in 2024 and is projected to reach $677.6B in 2030 (CAGR of 9%)

- North America is 38.5% of this in 2024 ($156.6B)
- U.S CAGR is expected at 7.6% until 2030 ($226B in U.S by 2030)
- Asia Pacific is the fastest growing global segment



Different article states (source):

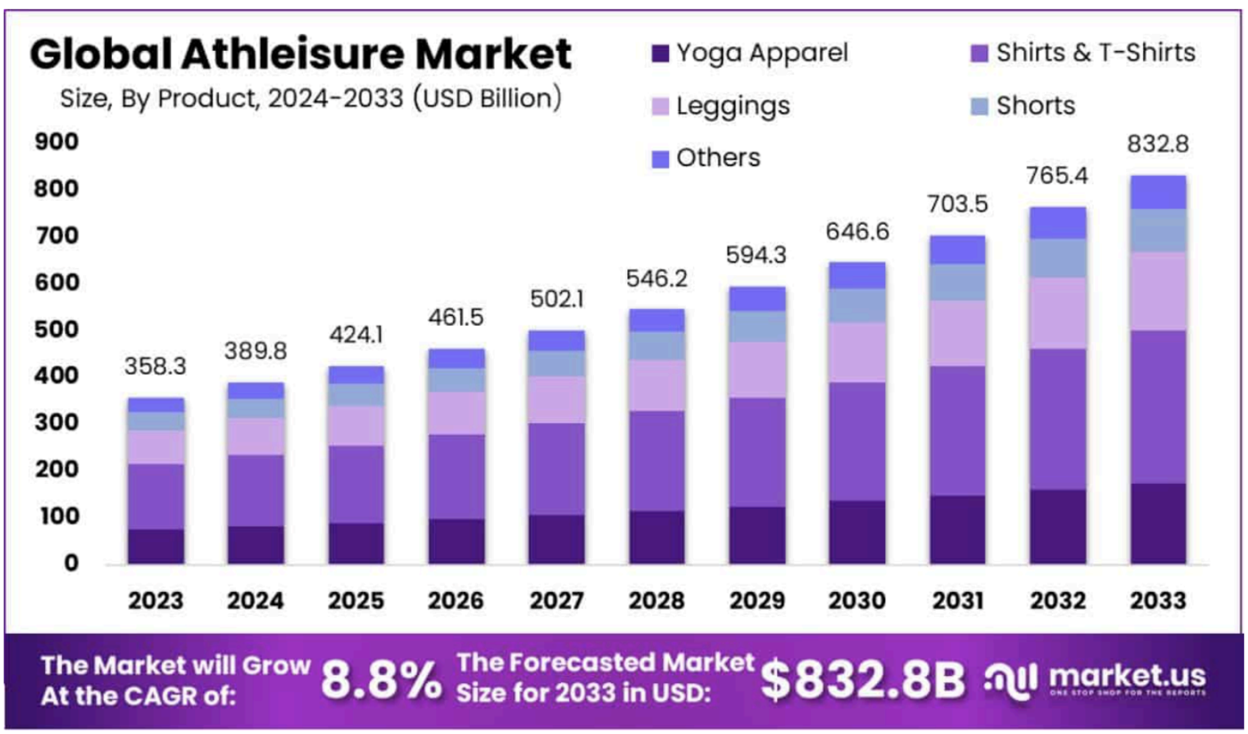
- Current global athleisure market at $425.1B
- global athleisure market will grow to $941.6B in 2034
- Ten year CAGR of 9.2%
- North America the biggest
  - Estimated 5-yr CAGR of 8.7%

- Asia pacific the fastest growing
  - South Korea specifically, at 11% CAGR expected
- T shirts most popular at 38.5% of the market
- Yoga apparel is fastest growing athleisure type

Different articles states (source):

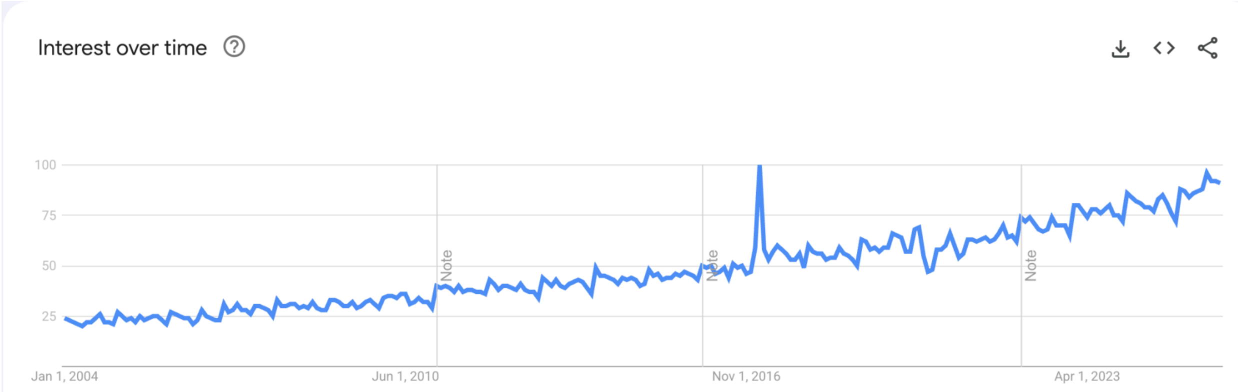
- 2024 $338B
- 2032 projected $716B
- 9.82% projected 10 yr CAGR
- Asia Pacific dominates the market

The industry growth, split up by product category can be seen below (source):

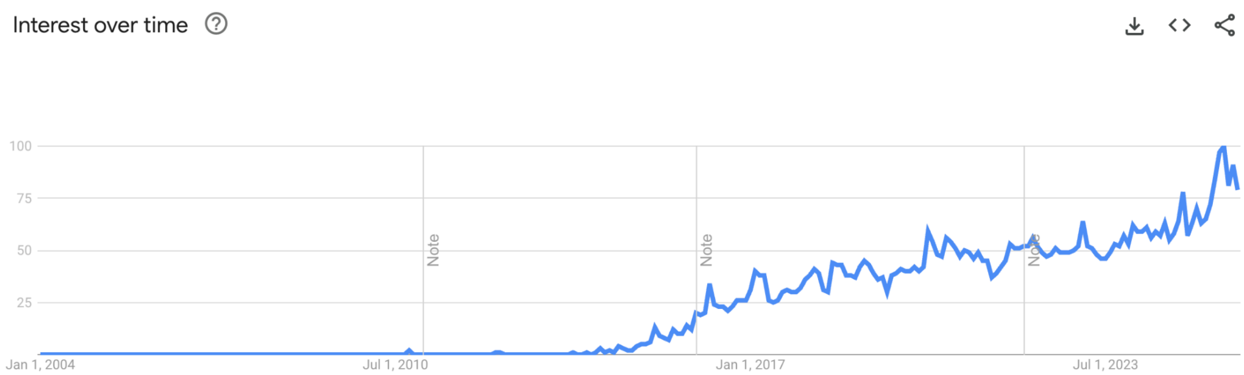


Additionally, the activewear market is riding the health and wellness trend, which has been increasing long-term

Google keyword: wellness



Google keyword: athleisure



Overall, athleisure is benefitting from:

- Growth in remote work
- Growth in wellness culture
- Innovations in fabric technology
- Influencer culture

Overall, athleisure is facing headwinds:

- Tariffs
- Growing number of cheap and counterfeit products

Trends to look into:

- Growth in eco-friendly materials
- More advanced tech in fabrics and/or manufacturing

Article here states that most people still prefer comfort and fit over price

2. Explain why this company will be going strong in ten years.

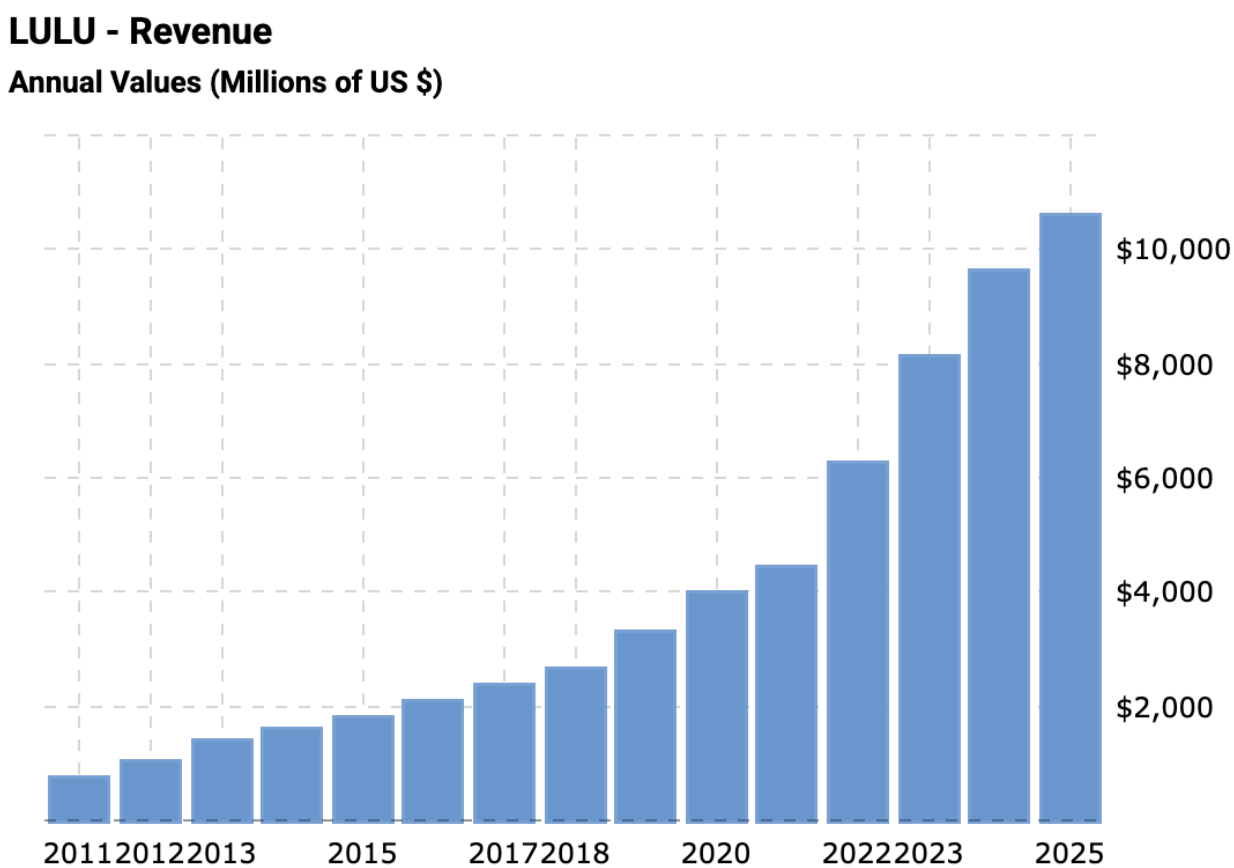
Lulu is poised to be going strong in 10 years because:

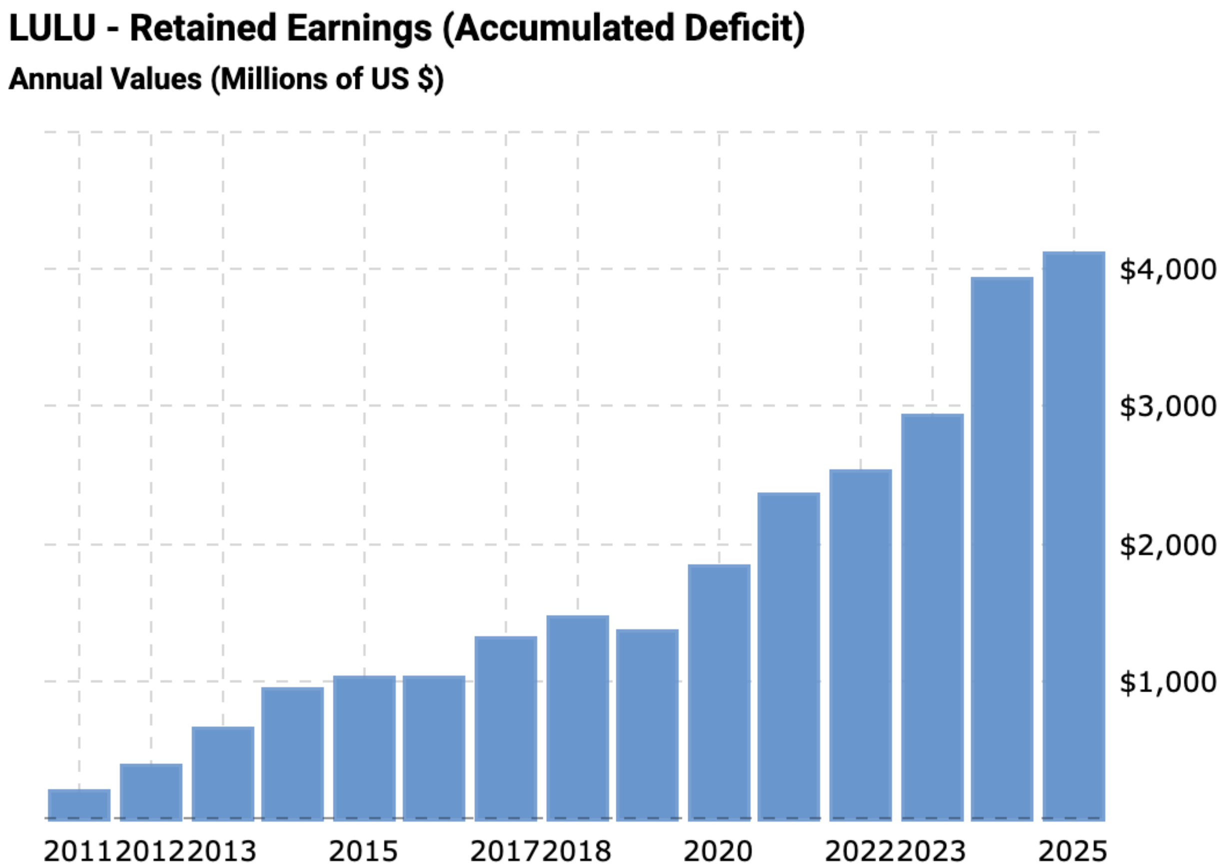
- Strong balance sheet
    - Poised to buyback shares as a growth strategy
- They are shielded by competitors due to their moats (secrets, brand)
- They are the clear leader in athleisure
- They are riding strong cultural trends
- They are uniquely positioned to expand internationally to their target customer
- Growing online presence
- Owner operated stores allows them to quickly adapt to changing consumer demands

Calvin McDonald's Power of Three growth plan:

1. **Product Innovation**: expanding technical appeal beyond yoga into categories like men's wear, golf, and footwear
2. **Omni-guest experience**: deepening digital integration to double e-commerce revenue and connect online and store experiences
3. **Market expansion**: quadrupling international revenues, especially across APAC and EMEA

3. Net Income and FCF have consistently grown over at least the past seven years.

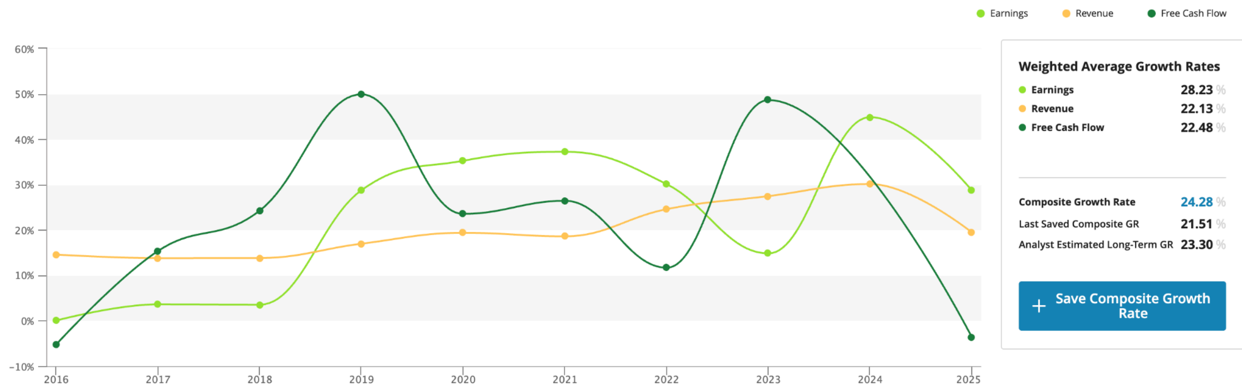




Payback Time Inputs	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Net Income Continuous Operations	266.047	303.381	258.662	483.801	645.596	588.913	975.322	854.8	1,550.19	1,814.616
Operating Cash Flow	297.538	386.392	489.337	742.779	669.316	803.336	1,389.108	966.463	2,296.164	2,272.713
Capital Expenditures	-143.487	-149.511	-157.864	-225.807	-283.048	-229.226	-394.502	-638.657	-651.865	-689.232
Free Cash Flow	154.051	236.881	331.473	516.972	386.268	574.11	994.606	327.806	1,644.299	1,583.481

4. **What is the historical growth of this company?**
    a. **Explain the analysis, tools, or other sources where you derived the growth rate.**

Historical growth rate is somewhere in the realm of 24% (excluded FCF from 2022 and 2023)

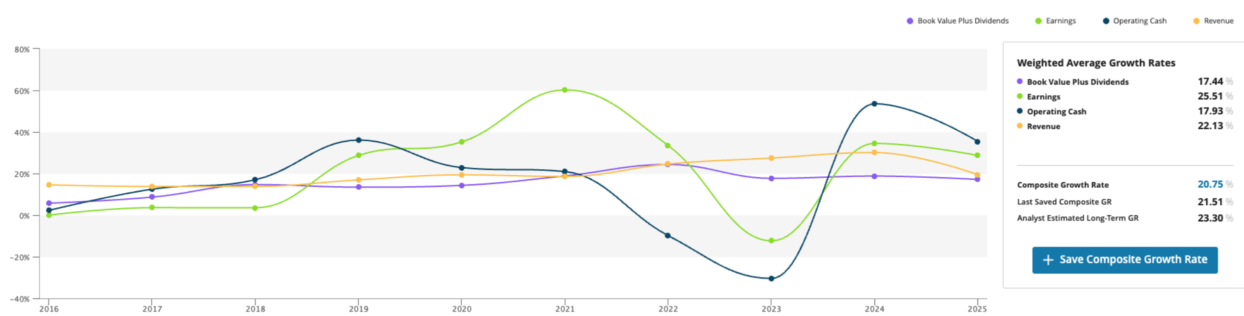


5. Explain how we arrived at our estimate of future growth.

a. If my estimate of growth differs from the historical what is my reasoning for changing?

Reference the FGR document here

<u>Rear View Mirror</u>

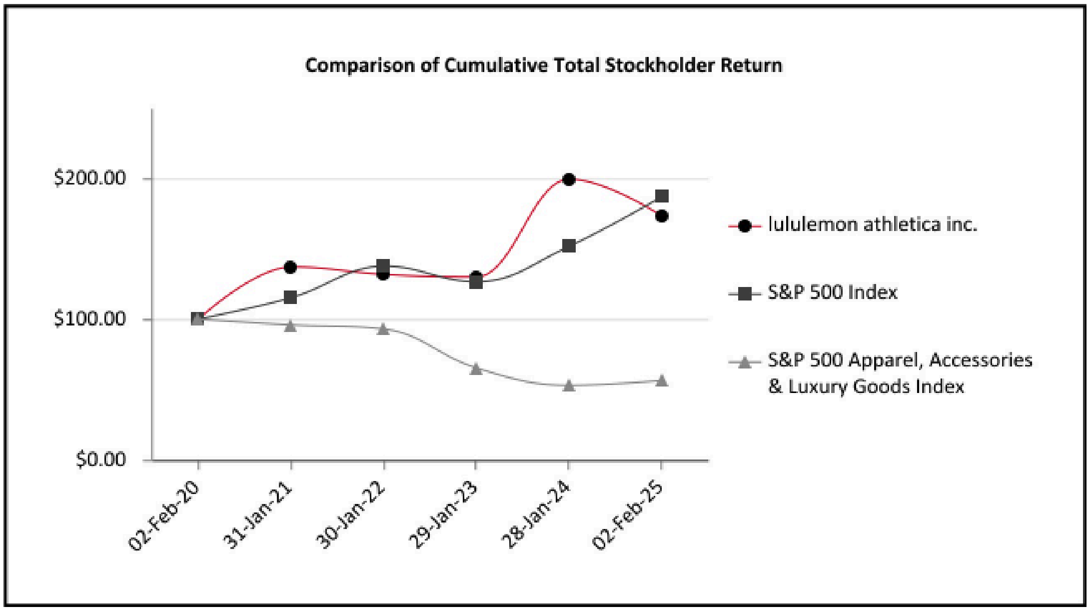


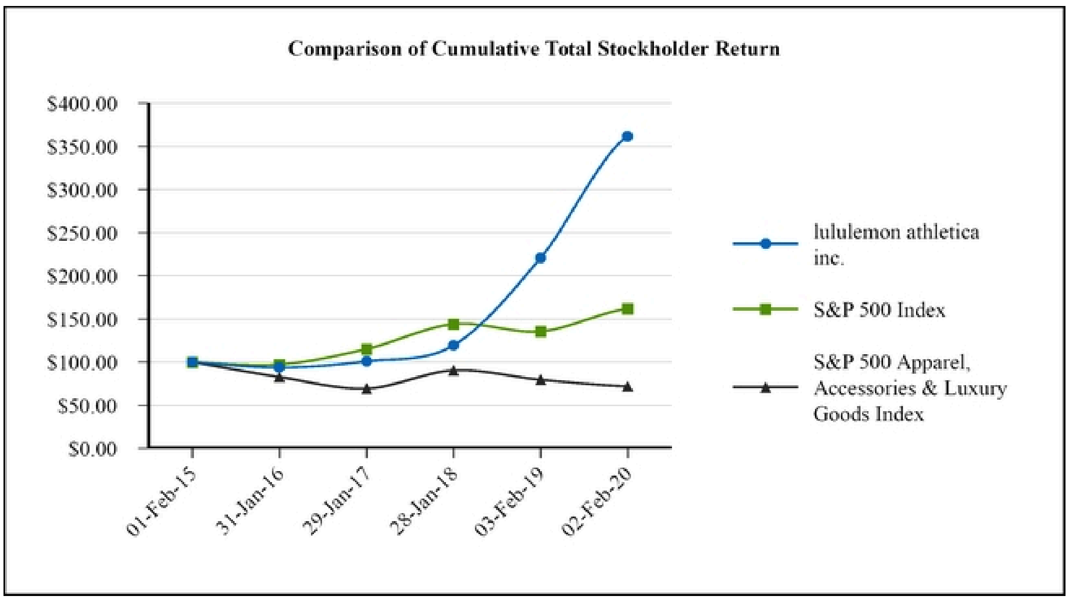
Composite GR: 20.75%

- Exclusions of Op cash & earnings in 2021 (b/c of covid)

<u>Market Relativity</u>

From 10Ks:





Conclusion: overall, Lulu appears to consistently outperform the S&P apparel index, as well as mostly outperform the S&P overall.

<u>Sector/Industry</u>

Articles [here](), [here](), and [here](), state that athleisure will:

- Grow globally:
    - 9% thru 2030
    - 8.8% thru 2034
    - 9.82% thru 2034
- Grow in north america:
    - 7.6% thru 2030
- Grow in Asia
    - 11% thru 2034

Company Gudiance

The Power of Three (2019) plan was to double mens, double digital, and quadruple international sales in 5 years, they did it in 3.5. That's a 15%, 15%, and 28% growth respectively

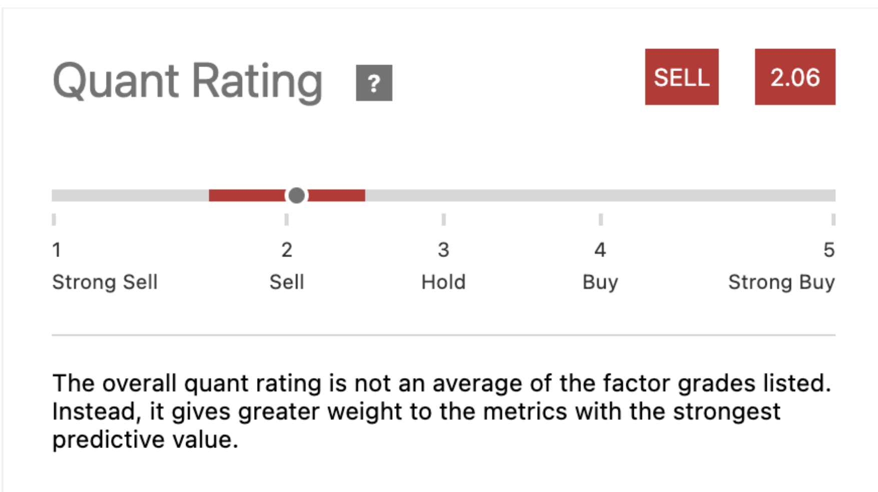
The Power of Three x2 plan was to double revenue in 5 years. That's 15% growth, and they are still on track, despite the 2025 slowdown. However, this plan will come to an end in 2026, and they have yet to announce a new 5 year plan.

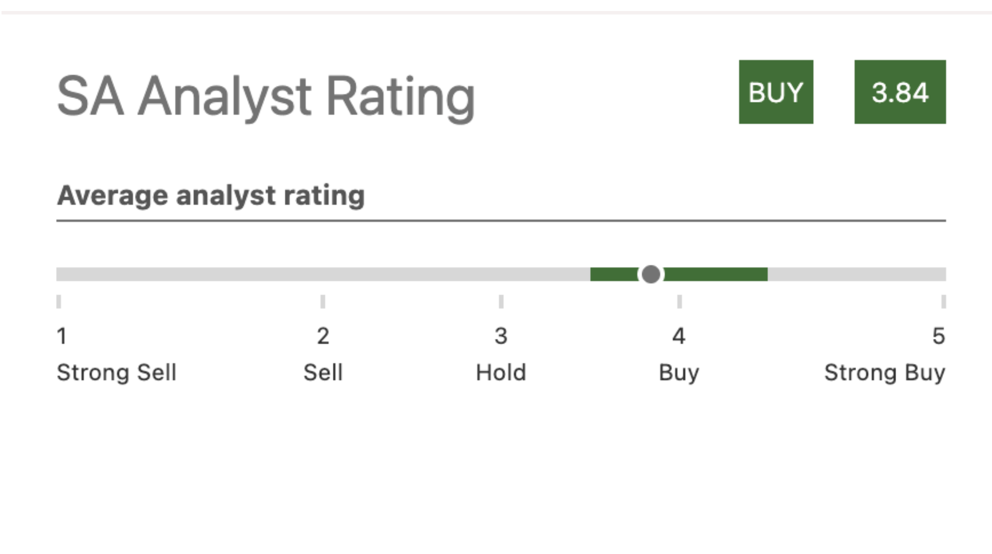
It seems that in general, management believes they can grow at 15%, and they have achieved it on several occasions.

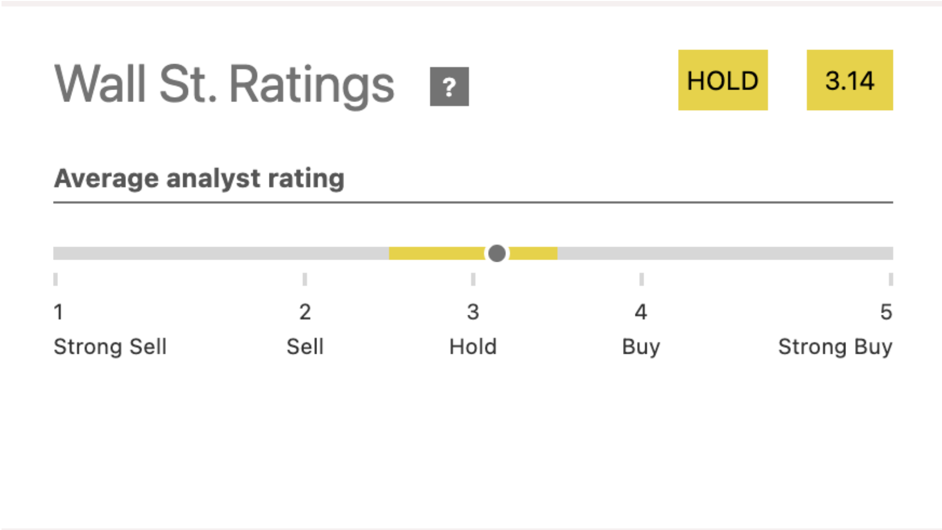
Analysts

- Article here has 5 year revenue growth rate at 9.2%

From Seeking Alpha as of Dec 2025:







Overall, quants think it's going down. Wall st is unsure. Seeking alpha analysts think it's going up.

Putting this all together:

Reference LULU FGR sheet here:

Rear View Mirror	20.75%
Market Relativity	
Company guidance	15.00%
Sector/Industry	9.00%
Analysts	
AVG	14.92%

Using this growth rate:

6. Are they funding their growth with cash or debt?

All cash, never debt.

7. **What are the three buy prices, and what are the assumptions for each metric?**

MOS: $149.88

Growth Rate: 13%

EPS (TTM or other?): $13.74 **(**average of past 3 years, including TTM)

Future PE (double GR, why or why not?): 30, double. They've had PE ratios higher

Future Value: $1,212.68

MARR: 15%

PBT: $182.23

Growth Rate: 13%

FCF Ratio (did you use toolbox default, why or why not?): 0.92, excluded 2016, 2018, and 2021

FCF per share (did you use toolbox default, why or why not?): $12.64, I like it b/c of my FCF ratio exclusions plus my EPS 3 yr average

Payback time in years: 8.13 years

Ten-Cap: $177.32

Cash from Operations: $1,860.99

CapEx: -$732.59

CapEx% for Maintenance: Answer 70%, could not find maintenance in 10K

Maintenance CapEx: -$512.81

Tax Provision: $742.52

Owner Earnings: $2,090.70

Shares Outstanding: 117.91

Owner Earnings Per Share: $177.32

MOS & PBT Valuation Table w/ Various Inputs:

	13% FGR		15% FGR	
	$13.74 EPS (3 yr avg)	$14.38 EPS (TTM)	$13.74 EPS (3 yr avg)	$14.38 EPS (TTM)
MOS	$149.88	$156.86	$206.10	$215.70
PBT	$182.23	$190.71	$199.55	$208.84
10 Cap	$177.32	$177.32	$177.32	$177.32

10 Cap Valuation Table w/ Various Inputs:

	50% Maintenance	70% Maintenance
10 Cap	$189.75	$177.32

Overall, Lulu's buy price is somewhere between $150 - $215

8. **Explain if growth is organic or from acquisitions.**
    a. **Is growth organic, if yes, then move on to conclusion.**
    b. **If growth includes acquisitions, does this business acquire other companies often and are the acquired companies small in comparison? If yes, move on to conclusion.**
    c. **If growth includes infrequent acquisitions and/or the other companies are large or are not in my circle of competence, explain why I should own this business.**

Lulu's growth is by and large a product of organic growth, however they made one large acquisition over the past 10 years. In 2020 they acquired the interactive home fitness company Mirror (now called Lululemon Studio) for $500M. However, they paid too much for it, and they've since had to write down impairment charges in the realm of $362M for this purchase (according to 2024 10K). It looks like they learned their lesson and have not tried to grow by acquisitions since.

CONCLUSION:

- Based on this analysis, I’m confident I have a reasonable estimate of this business's value.

INVERSION & REBUTTAL ANALYSIS

1. **Explain the main problem this business faces that could cause it not to grow or even fail altogether.**
    a. **Examples:**
        i. **'Health' brand broken by e-coli.**
        ii. **Damaged wellhead gushing oil will face unknown amounts of government penalties.**
        iii. **Personal computers and printers are making typewriters obsolete.**

The main problem the business is facing is growing competition (Vuori, Alo Yoga, Gymshark, etc), causing pause in the investment community because these brands offer products very similar to Lulu's catalogue and have had a negative effect on Lulu's North American business.

Potential loss of their moat:

- Other brands offering similar products at cheaper prices (Athleta, fabletics, Alo, etc)
- Other brands (i.e. Vuori) completely copying their business model and offering superior products (softer) at cheaper or similar prices
- Lulu being unable to offer competing products with trendy designs and/or soft and flexible fabrics
- Loss of customers in their online business due to an increase in selling price caused by the removal of the de minimis exemption
- Losing the reputation and value of the Lululemon brand (high quality products, wellness and community vibe)

2. **Explain the risks this business is taking that could cause it to fail.**
    a. **Examples:**
        i. **Loading up on commodity-price secured debt to finish a new plant could result in Ch 11 if commodity prices drop.**
        ii. **CEO is old and will not be here for ten more years.**
        iii. **The critical VP departed and can't be replaced.**
        iv. **Falling behind development plan and critical execs departing.**

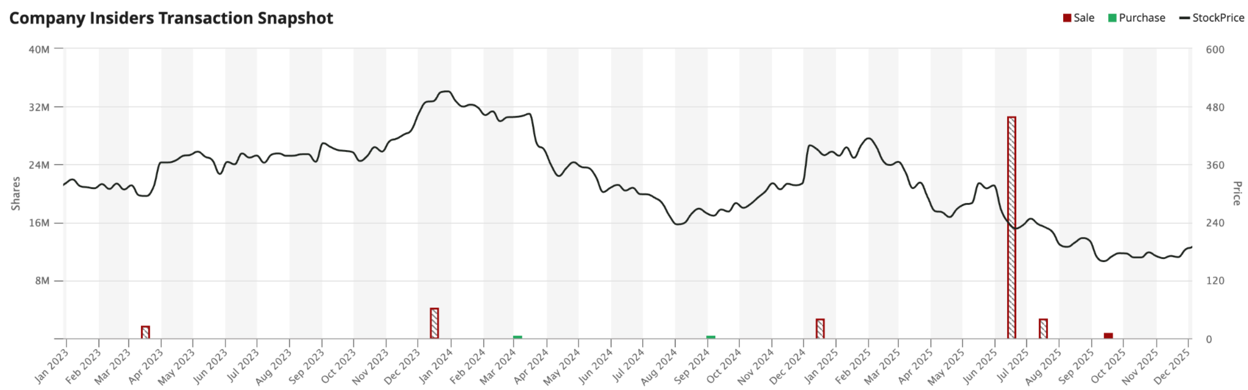
- The risk of not making innovative products to the consumers liking, causing consumers to go to the competition
- Risk of losing their brand's edge (wellness and community centered) as they continue to grow their international reach
- Risk of obsolete inventory if trends move too quickly
- Risk of moving into markets that don't make sense for their business

3. Are company insiders selling the stock?

Calvin McDonald sold ~20% of his shares in July (seen below in the image), but could be due to the fact that he knew he was leaving

For some reason, Celeste Burgoyne always sells ~70% of her/his options when they are granted every year

Other than that, insiders don't really sell that many shares over the past few years.



4. Are gurus selling the stock?

Michael Burry just added 1.29% of his portfolio in 2025

First tranche in Q2 avg price $275

Second tranche (2x bigger than first) in Q3 avg price $200

Prem Watsa added 0.22% of his portfolio in Q3 of 2025 (avg price $200)

Stephen Mandel back in 2016-17

5. There is no ceiling to the growth rate based on our analysis so far. What is the Ceiling on this business?

Using 13% - 15% as the growth rate over the next 10 years:

according to 2025 10K and several indsutry trade journals, noted in LULU Pitch Deck				
2024 Revenue		Projected Revenue 2034		2024 US Market Share
Overall	$10,588,126,000	$35,940,000,000		
North America	$7,928,156,000			5.47%
US 2024 Market				
Source 1	$145,000,000,000			
Global 2024 Market				2024 Global Market Share
Source 1	$338,480,000,000			3.13%
Source 2	$396,700,000,000			2.67%
Source 3	$406,830,000,000			2.60%
				2.80%
Global Projected 2034				2034 Global Market Share
Source 1	$716,050,000,000			5.02%
Source 2	$941,650,000,000			3.82%
				4.42%

If they grow at their estimated FGR, they will slightly expand their global market share of athletic apparel, still well within the nominal limits of any one company in the industry.

6. **I created a serious inversion for every key reason to own this business and a rebuttal for that inversion.**
    a. **Inversion #1: article [here]**
        i. **Rebuttal – Document my rebuttal:**

    b. **Inversion #2:** Lululemon is losing their edge and being overtaken by competition, namely Vuori and Alo Yoga
        i. **Rebuttal –** It is true that

CONCLUSION:

- I have captured all the rebuttals from the short sellers and analysts with a sell or hold rating on this company.
- I have identified and confirmed an adequate rebuttal for all the inversions.

INITIAL TRADING STRATEGIES ANALYSIS

1. After completing the Pitch Deck Analysis, we are confident enough in the business to start trading it before completing the full story. Explain why.
    a. Is it within trading range?

HISTORICAL PRICE-TO-VALUE ANALYSIS

1. I've back tested to understand how our valuation method has historically performed with this company.
    a. Is this company cyclical, and how did that impact the back testing?
    b. What valuation method has historically been most predictive when the company experienced an event?
    c. What were the valuation assumptions used in the back testing?
    d. What are the historical returns?

2. I understand what phase of the company's lifecycle and how that has influenced the valuation methods that work well for this company.
    a. Examples: Rapid growth, slowing growth, Early Maturity, Decline, etc.
    b. Examples: Did the company recently go through an acquisition or spin-off that affected its historical results?

TRADING STRATEGY

1. I have defined a trading strategy for this position.
    a. Max size of trades
    b. Type of trades
    c. What if assigned?

2. I have added this company to our watchlist and set up price alerts.
    a. What are our price alerts?

CONCLUSION:

- After completing this analysis, I'm confident that our valuation method is historically accurate, and we have a solid trading plan until we complete the remainder of our analysis process.

INVESTMENT STRATEGY

1. I have determined a percentage of the total portfolio this position should be.

2. I have defined a strategy for entering this position.
   a. How many Tranches will we use to enter this position, and what is the approximate size of each Tranche.

3. I have defined a trading strategy for this position.
   a. ROPs, ROCTs, Equity purchases, etc.
   b. ROCT trades at 80% of intrinsic value or below.

4. I have a clearly defined plan on how to exit this position.

5. I have defined a PACE Plan for responding to unforeseen changes in the story or market conditions.
   a. Primary
   b. Alternative
   c. Contingency
   d. Emergency

CONCLUSION:

- I have reviewed the investment strategy with the team and feel confident we have a solid plan for managing this position.

REFERENCES